

What the CIO Needs to Know About IAM

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Part of being a CIO is accountability for risk and compliance for the business.

IAM is about mitigating risk and enabling the business.

Key Issues

1



**IAM risk is
business risk**

2



**IAM needs a
champion**

3



**Feed your IAM
organization**

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2023 Verizon Data Breach Investigations Report

74%

of all breaches included the human element, with people being involved either via **error, misuse of privilege, use of stolen credentials or social engineering.**

83%

of breaches involved external actors, and the primary motivation for attacks continues to be **overwhelmingly financially driven**, at 95% of breaches.

2024 Verizon Data Breach Investigations Report

50%

of all breaches that resulted in compromised data were a result of **social engineering attacks**.

30%

of breaches over the last ten years happened as a result of stolen credentials.

2025 Verizon Data Breach Investigations Report



The exploitation of vulnerabilities has seen another year of growth as an initial access vector for breaches, **reaching 20%.**

This value approaches that of credential abuse, which is still the most common vector.

3 Primary Ways for Attackers to Access an Organization



The diagram consists of three large orange circles arranged horizontally on a dark blue background. Each circle contains white text representing a primary way for attackers to access an organization. The circles are separated by equal gaps.

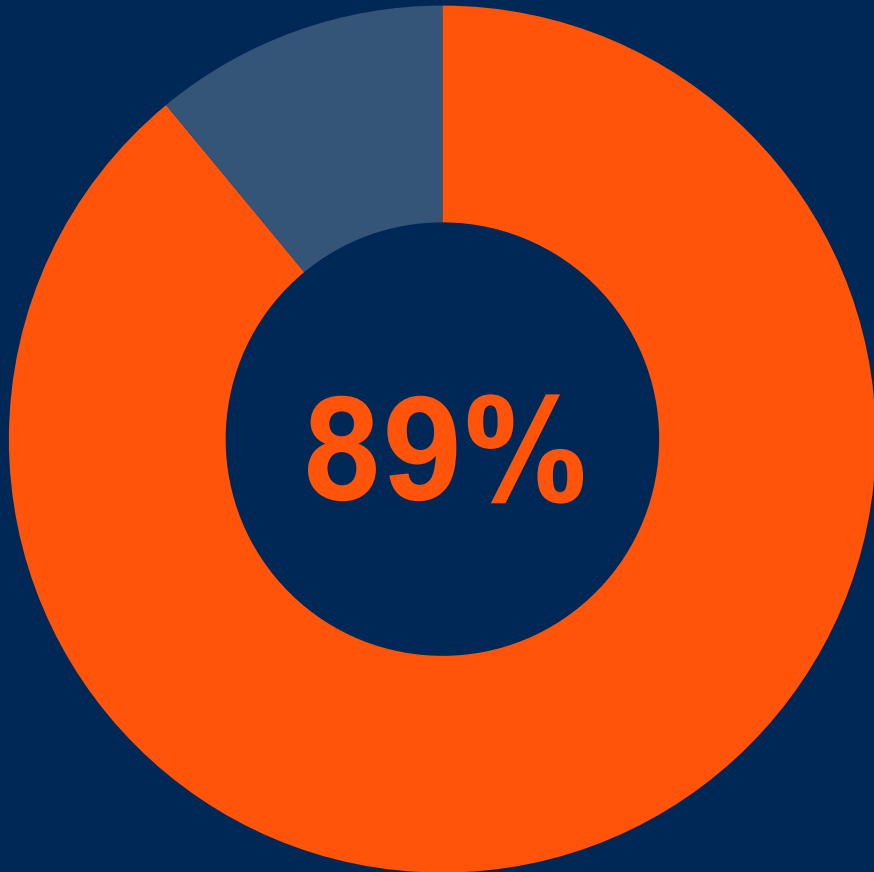
**Stolen
credentials**

Phishing

**Exploitation of
vulnerabilities**

Risk and Process Essentials: Identity and Access Management (IAM)

Expanding Digital Network



In 2023, large companies globally had a digital and AI transformation underway, adding more entities to their network.

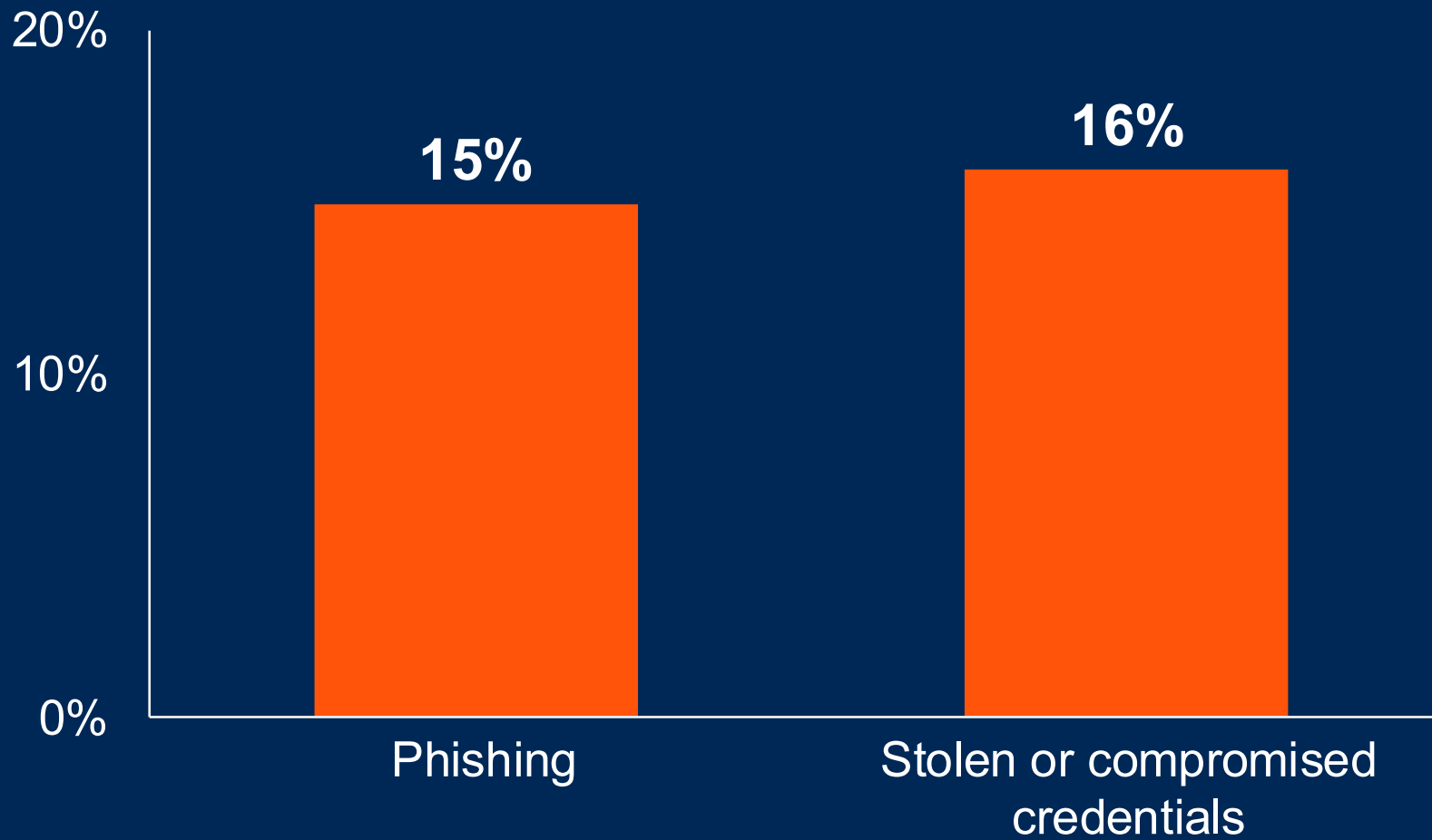
Increased Remote Access



Organizations are increasingly using cloud infrastructure to support **remote access to the organization's systems, run virtual machines and deploy GenAI capabilities.**

Ease of Cyberattack Deployment

Data breaches across March 2023 and March 2024.



Financial Impacts



Paid **\$18.5 million** settlement for a data breach that impacted **41 million customer payment card accounts**.

Malicious actors accessed it's servers by exploiting **stolen credentials** from a third-party vendor.

Cybercriminals accessed approx **140,000 social security numbers** and **80,000 linked bank account** details of secured credit card customers.

The individual was a **former employee** of the cloud hosting service used by the company.





Identity is now the primary control plane and attack surface for cybersecurity, making IAM risk = business risk.

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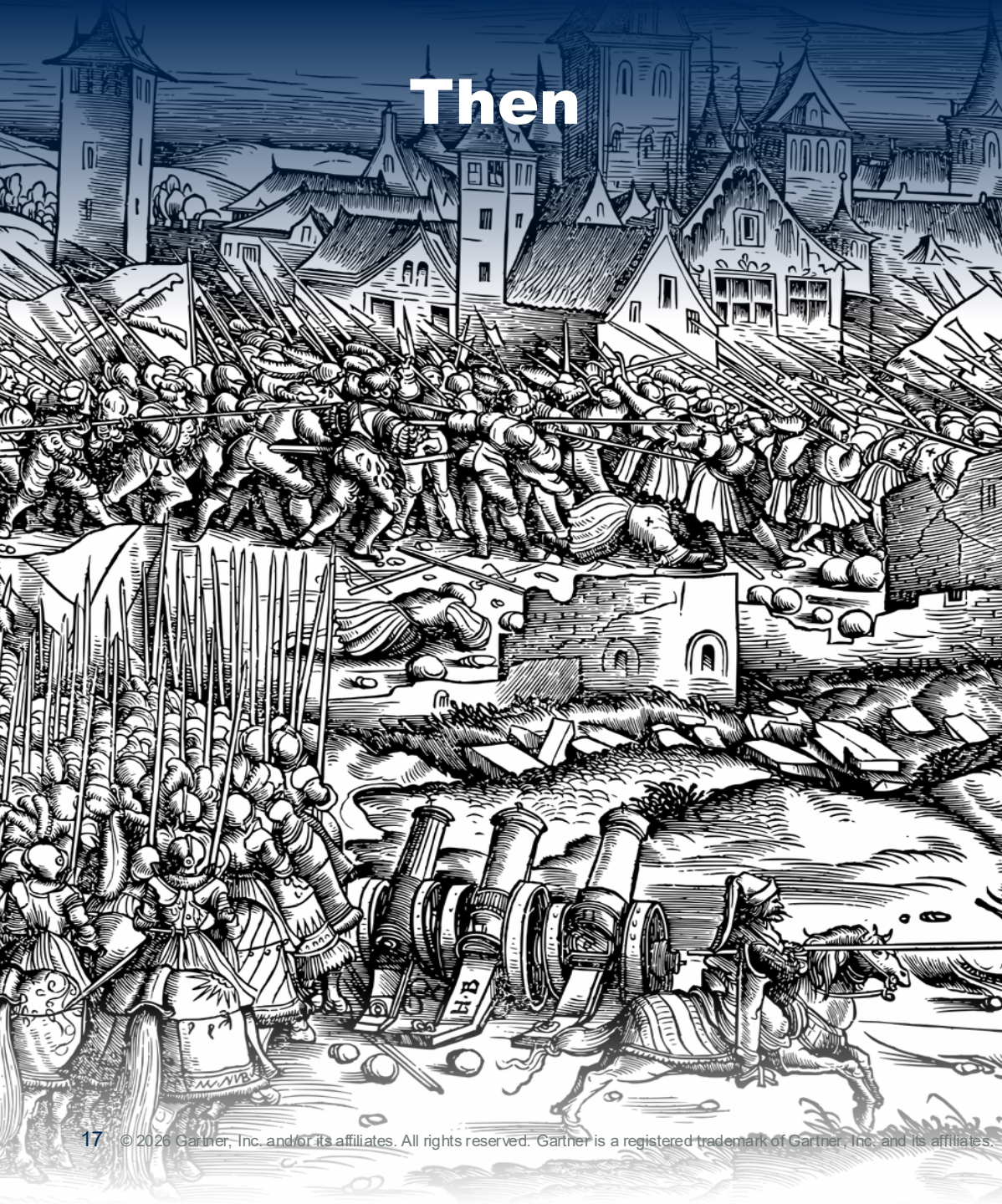
3



**Feed your IAM
organization**



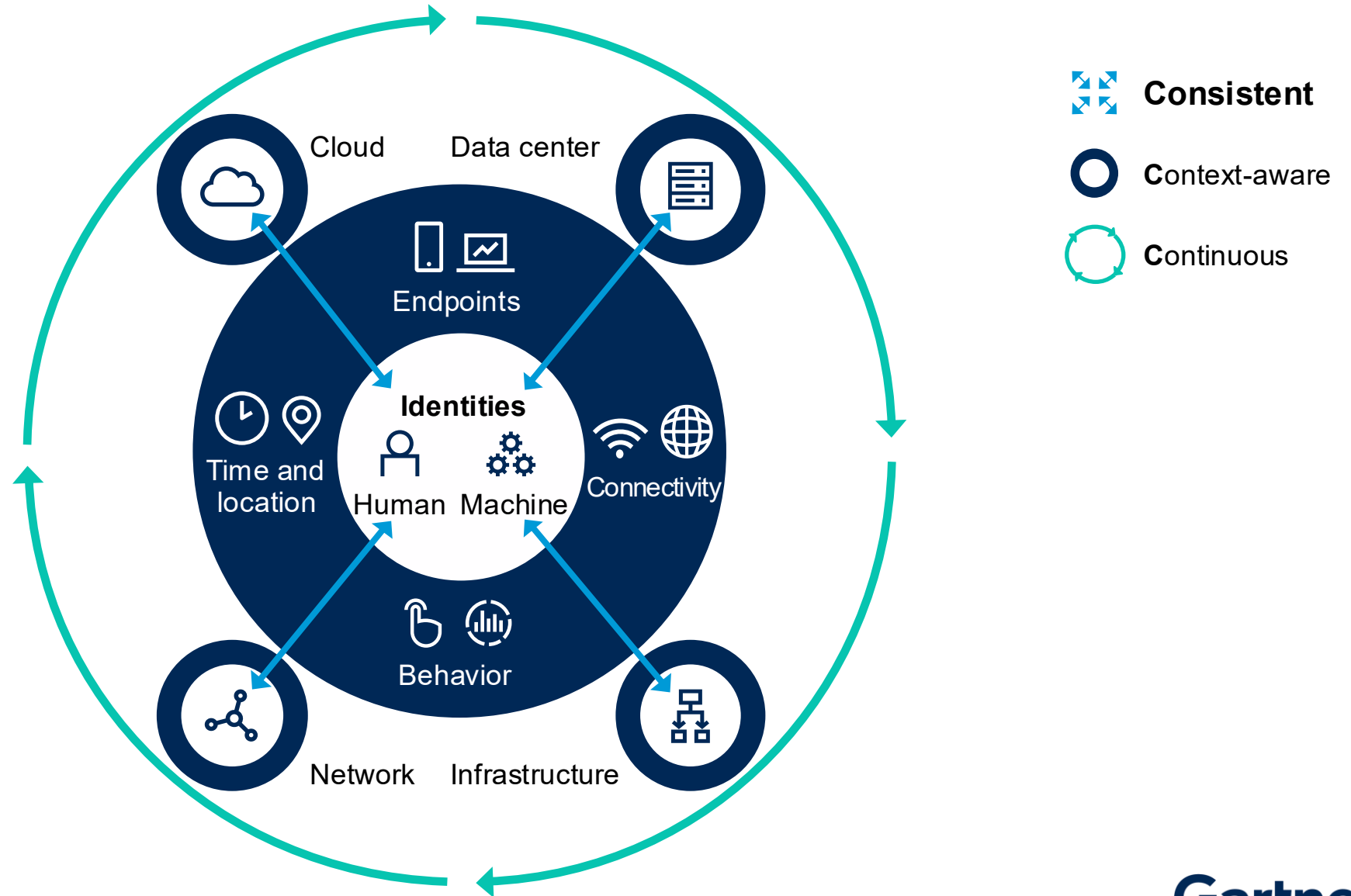
Then



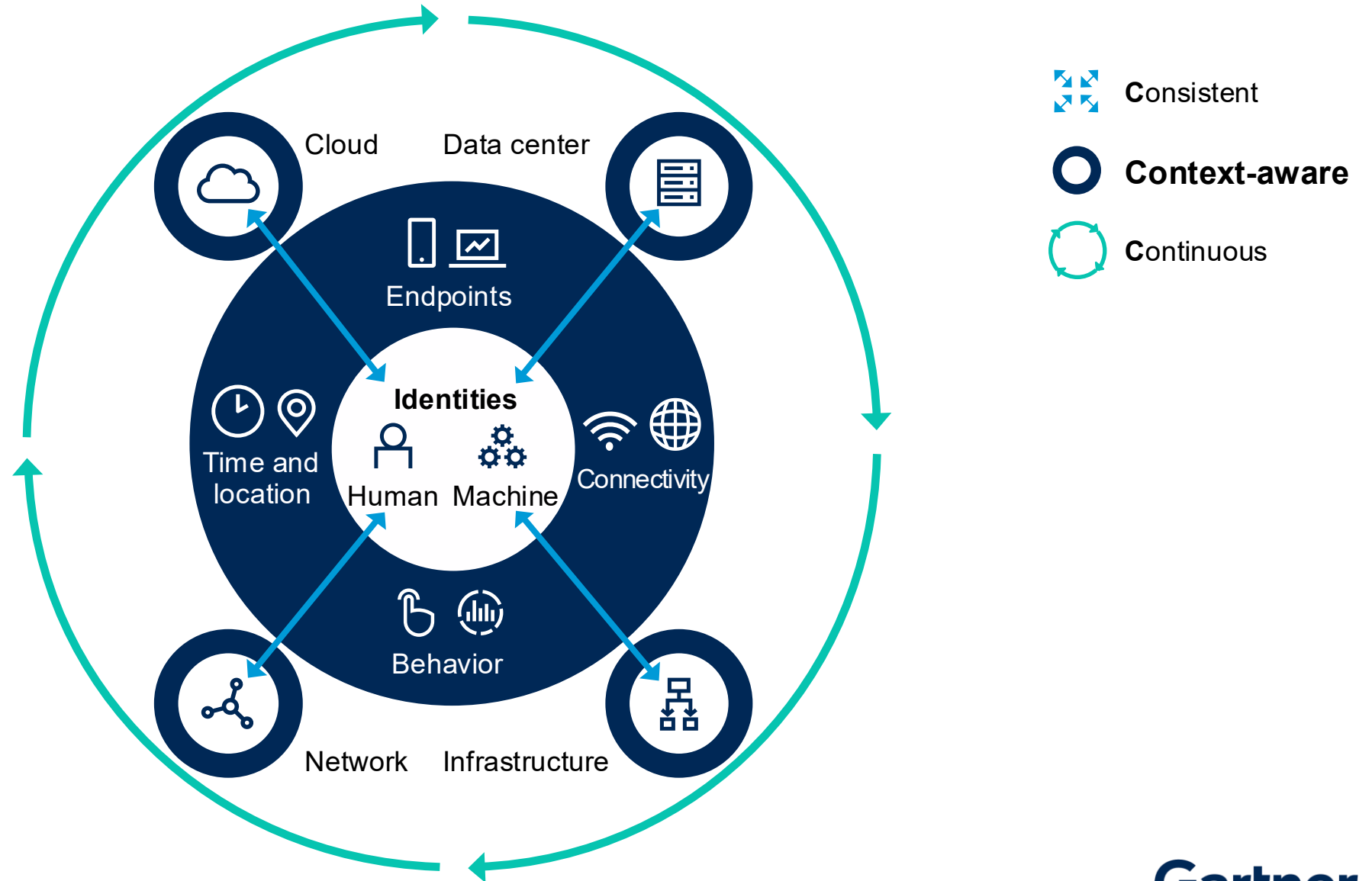
Now



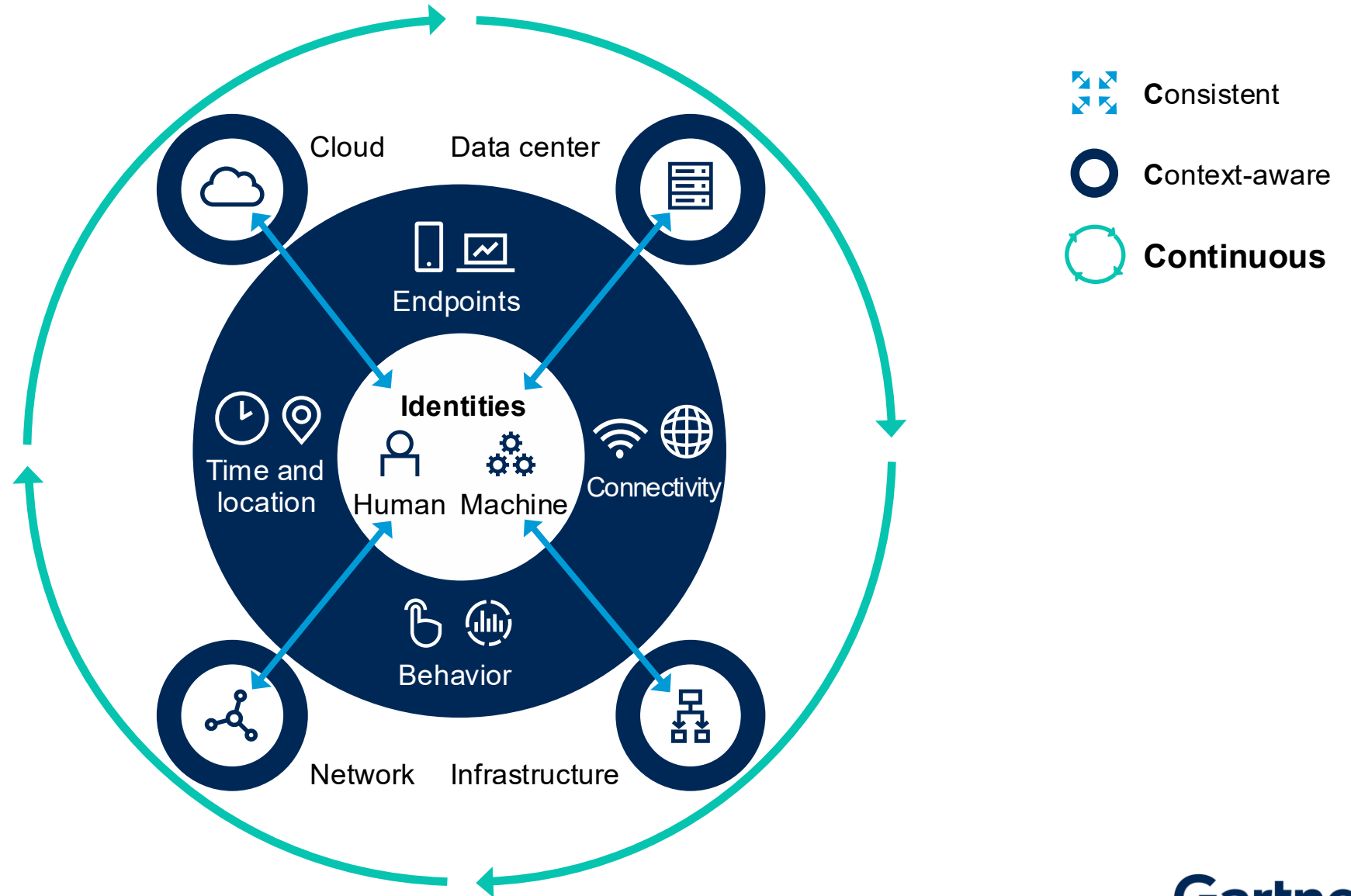
A 3Cs Approach to Identity-First Security



A 3Cs Approach to Identity-First Security



A 3Cs Approach to Identity-First Security



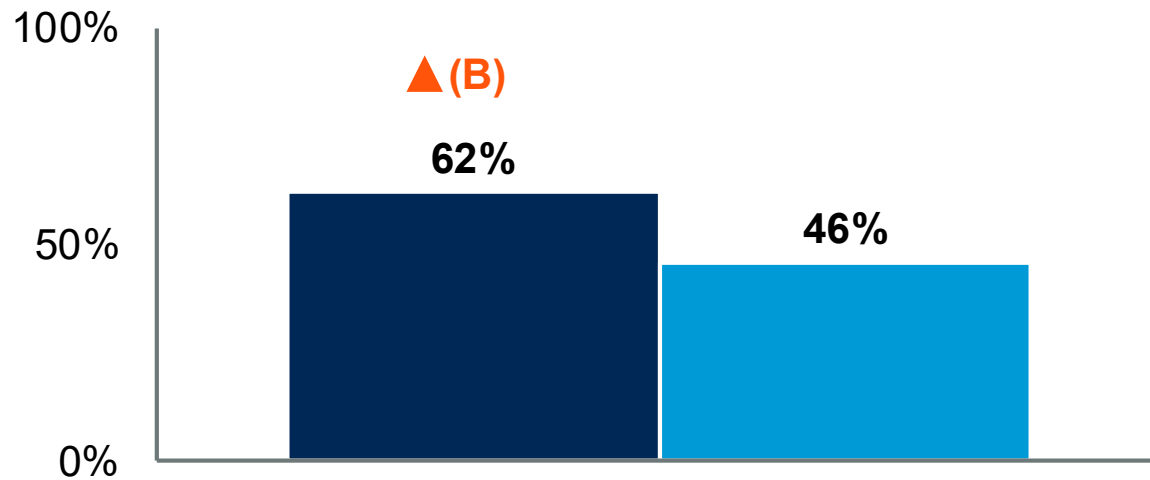
Top Factor for Gaining Success for Funding and People for IAM

■ IAM leaders are final decision makers (n = 116) (A)

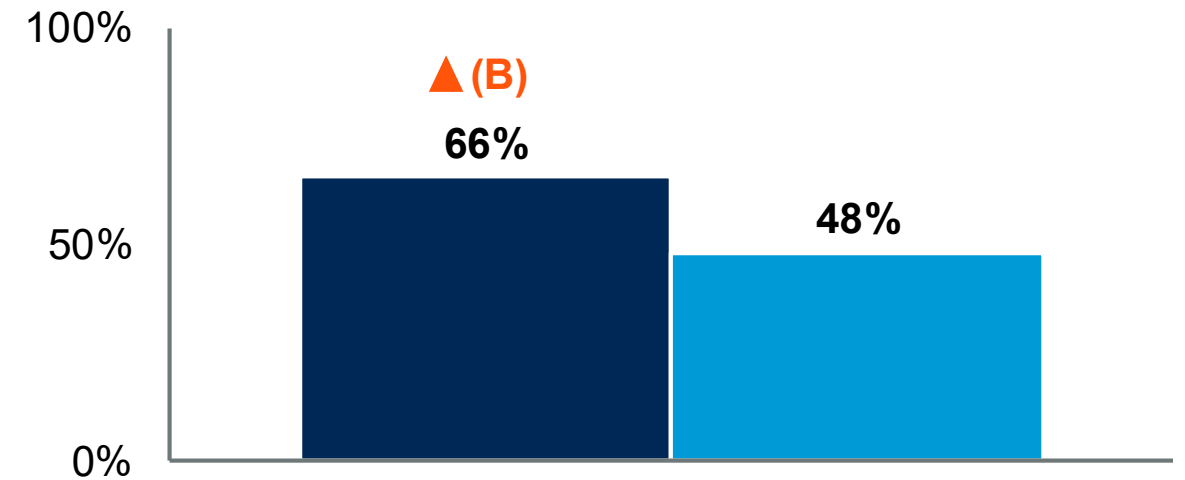
■ IAM leaders are not final decision makers (n = 181-183) (B)

▲ Statistical significance differences between groups

Organizations having **adequate staffing** for day-to-day operations, new projects and IAM modernization efforts



Organizations having **adequate funding** for day-to-day operations, new projects and IAM modernization efforts



n varies, all respondents, excluding don't know

Q: What best describes your organization's IAM current staffing status to achieve the IAM program's objectives?

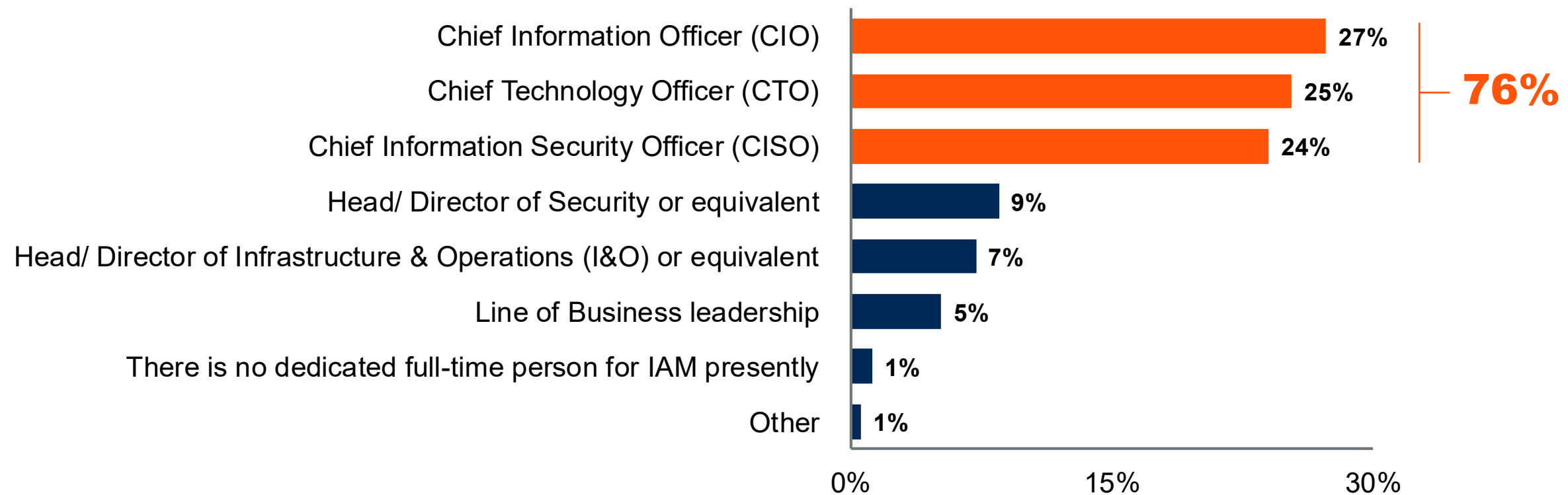
Q: And, what best describes your organization's strategy to fund its IAM program (including IAM projects, initiatives, and operations)?

Q: How involved are IAM leaders in IAM related investment decisions at your organization?

Source: 2023 Gartner IAM Modernization Preventing Identity First Security Survey

Majority (76%) of Senior-Level IAM Full-Time Roles Report to CIOs, CTOs or CISOs

Senior-level IAM full time role directly reports to



n = 303, all respondents
Q: To whom does the most senior-level IAM full time role in your organization directly report to?
Source: 2023 Gartner IAM Modernization Preventing Identity First Security Survey

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The ultimate basis of an IAM organization's success can be directly correlated to positioning and enabling the right leadership.

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Feed Your IAM Organization



Position IAM as a Strategic Bank Ally — AgileBank* Case Study

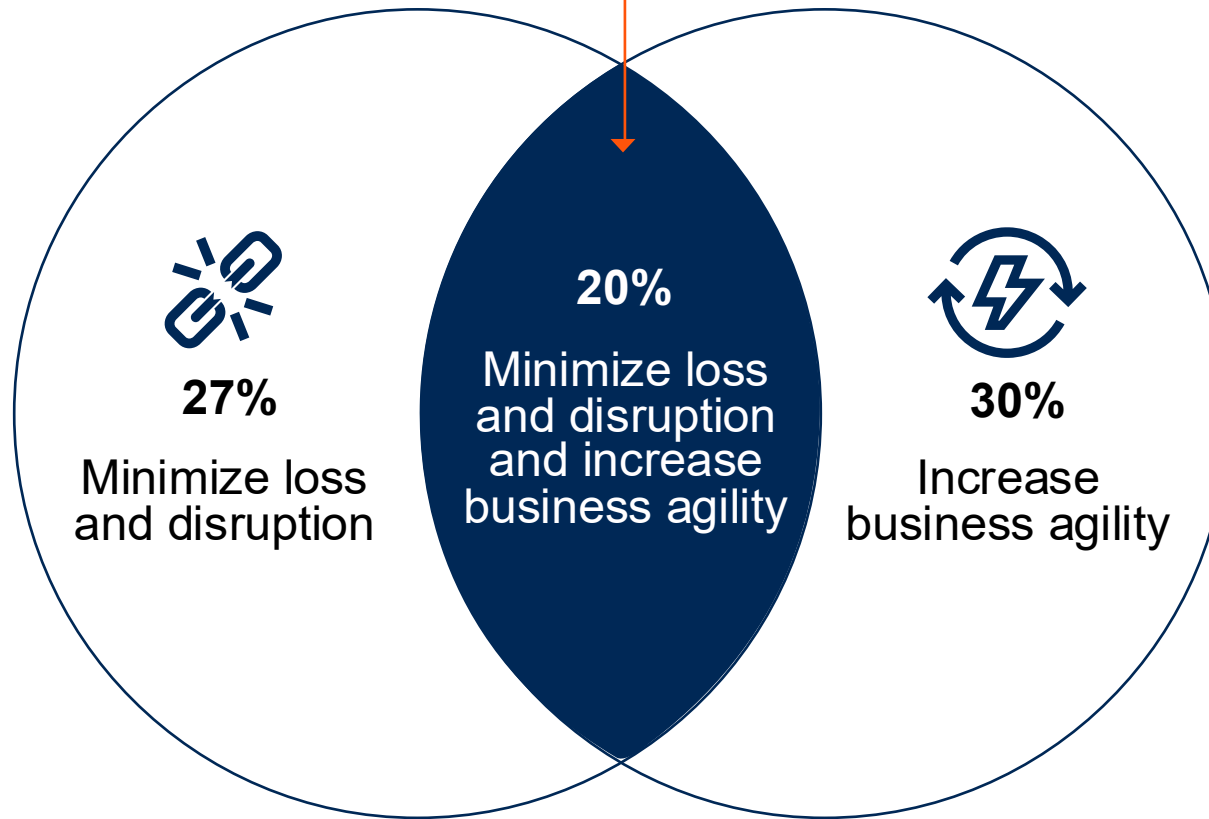
*Pseudonym

About the Company

- **Company name:** AgileBank*
- **Industry:** Finance
- **Headquarters location:** North America
- **Revenue:** \$20 billion to \$50 billion
- **Employees:** 50,000 to 100,000
- *Pseudonym

Percentage of SRM Leaders Who Successfully Achieve IAM Goals

Only 1 in 5 IAM leaders successfully achieve both goals.

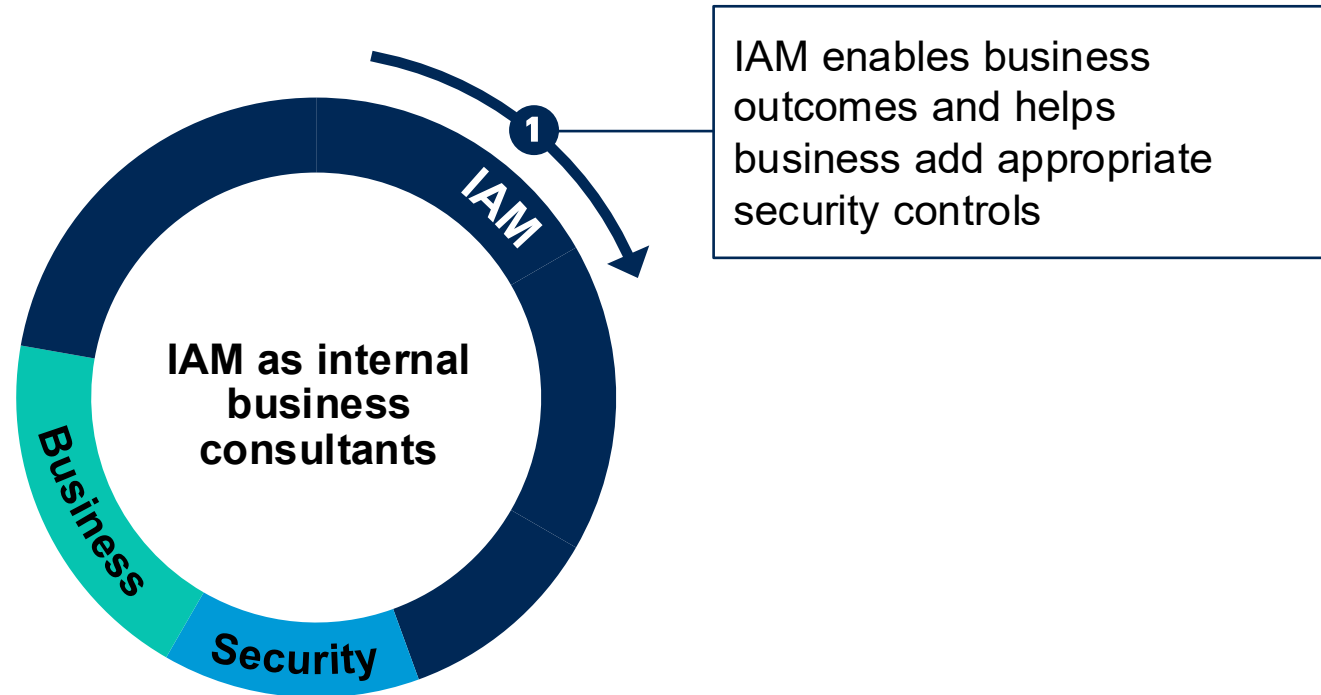


n = 335

Source: 2024 Gartner IAM Leadership Survey

Feedback Loop for IAM

△GILEBANK*

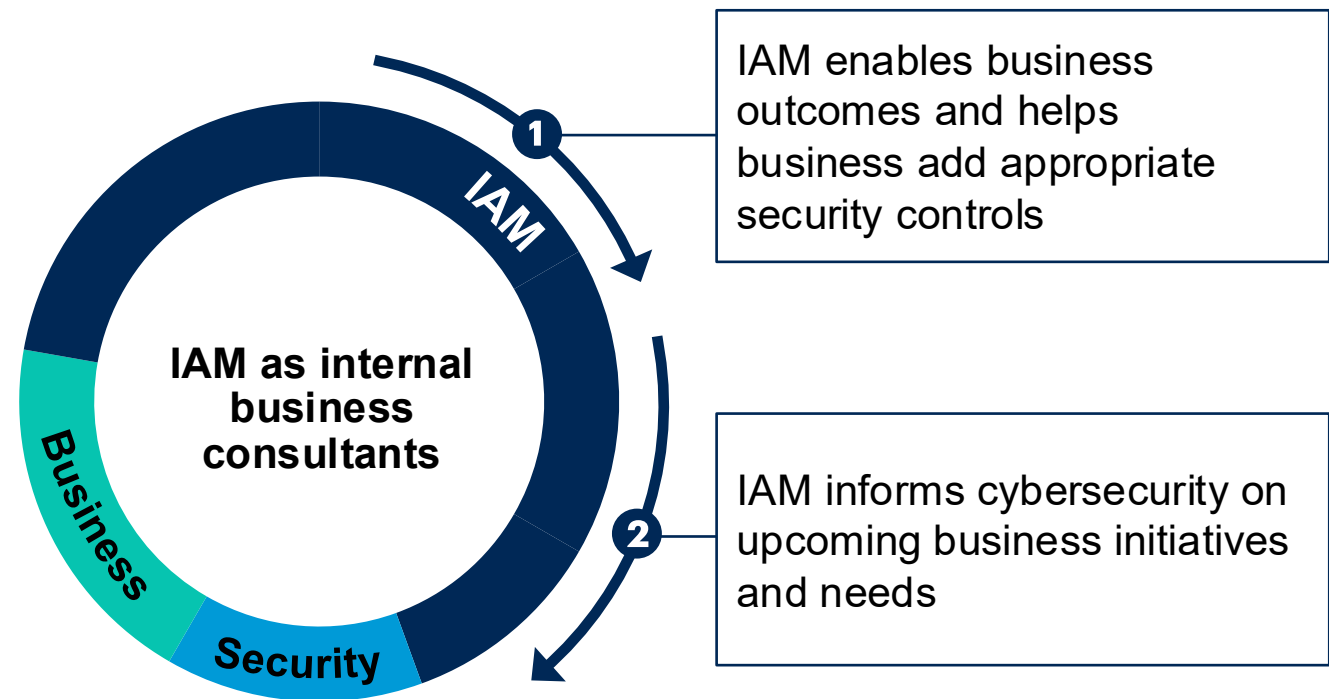


Source: Adapted from AgileBank*

*Pseudonym

Feedback Loop for IAM

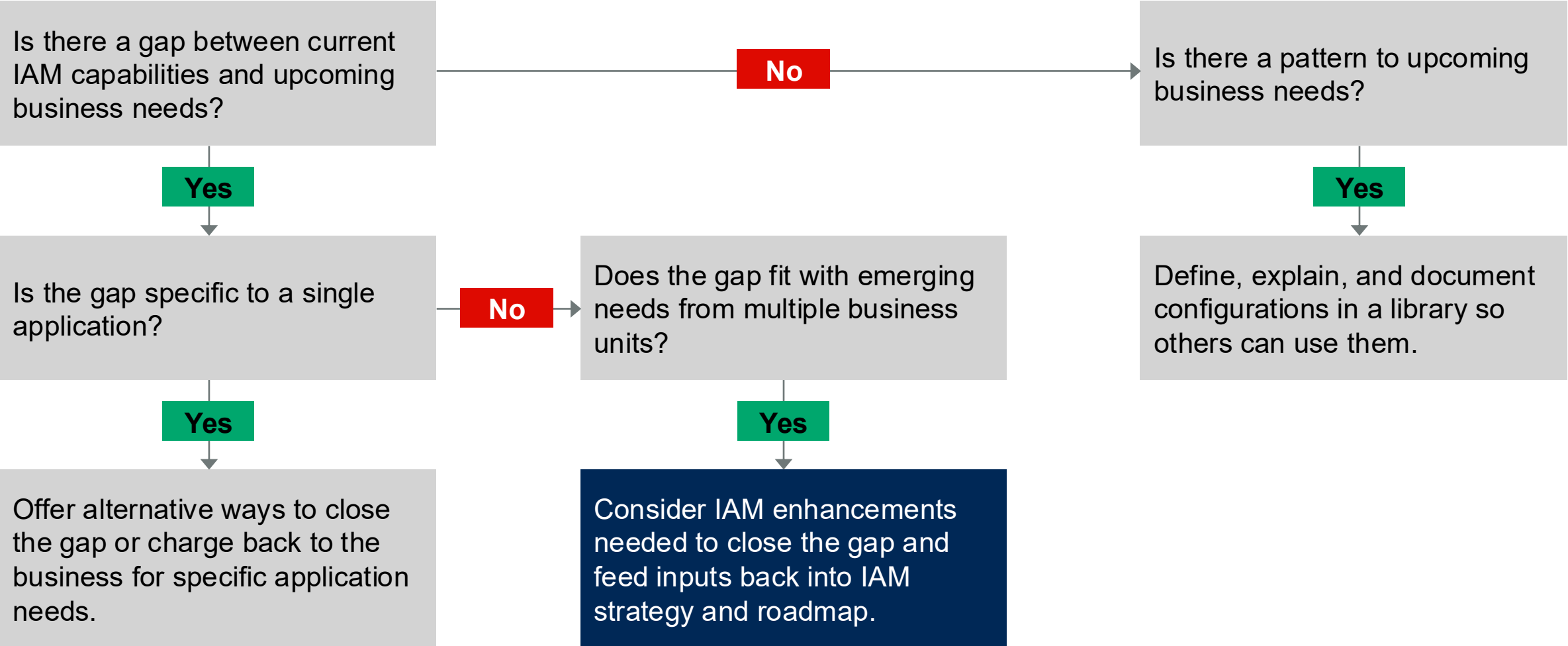
AGILEBANK*



Source: Adapted from AgileBank*
*Pseudonym

Decision Tree to Respond to Business Requests

AGILEBANK*

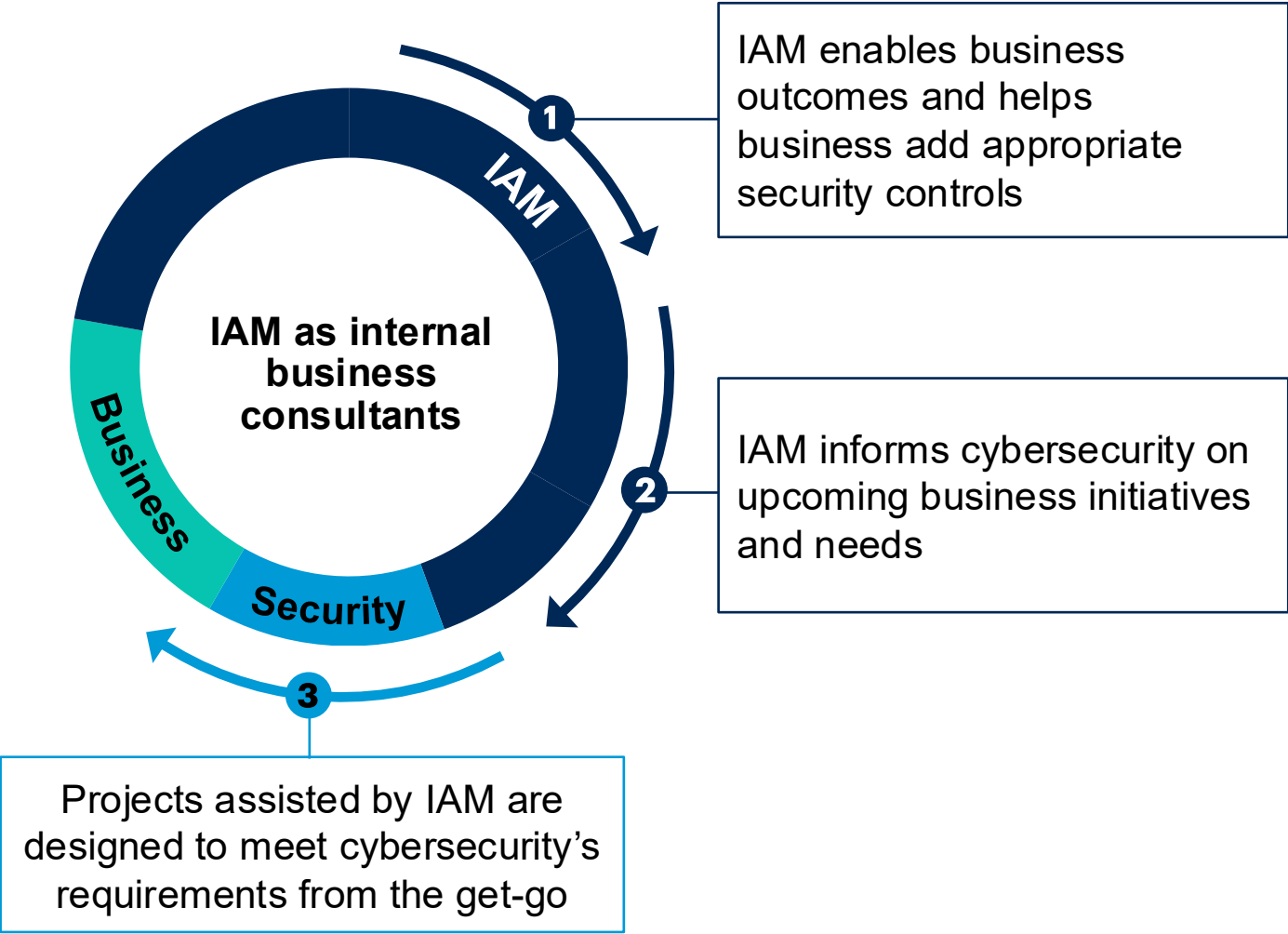


Source: Adapted from AgileBank*

*Pseudonym

Feedback Loop for IAM

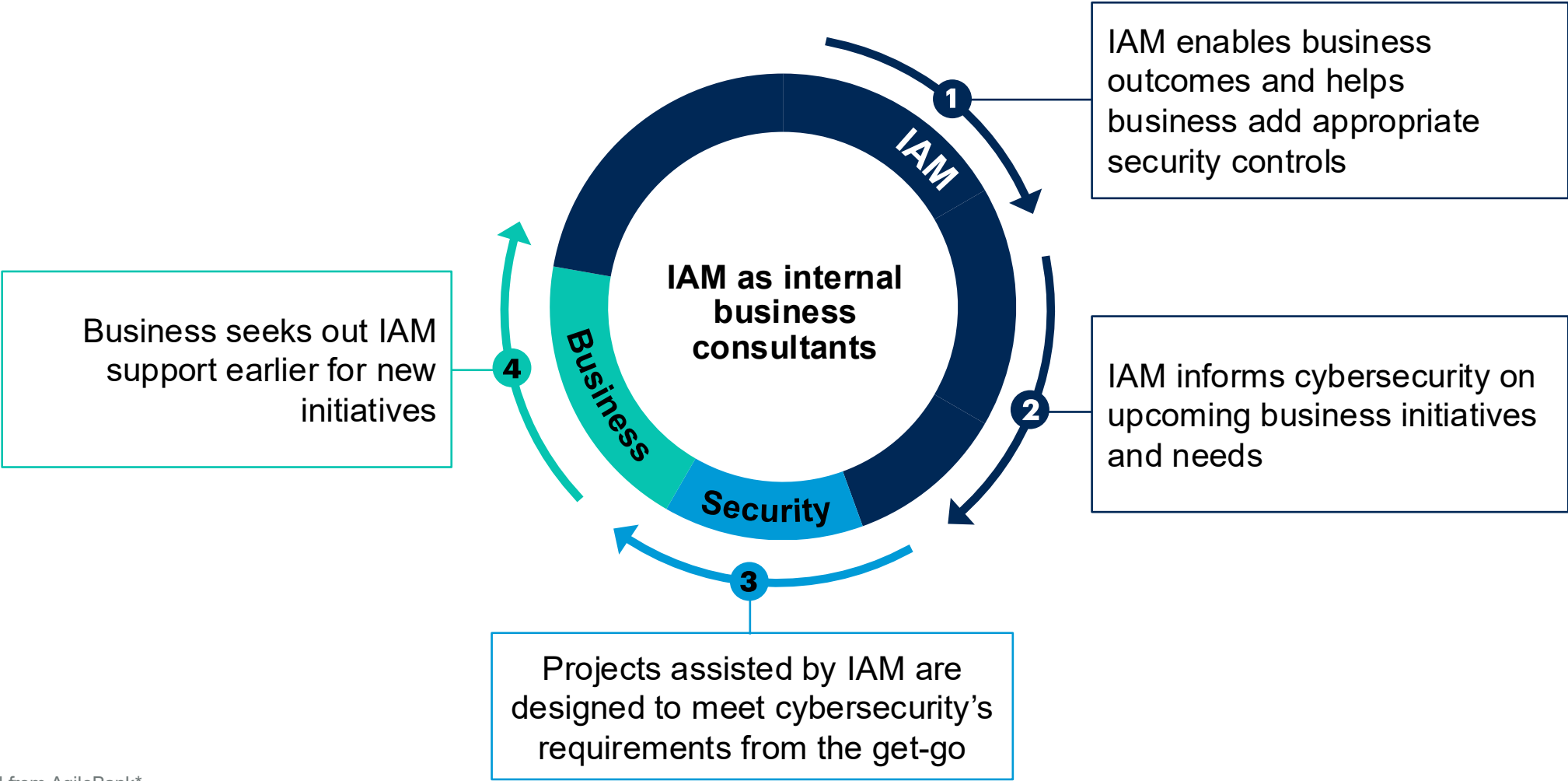
AGILEBANK*



Source: Adapted from AgileBank*
*Pseudonym

Feedback Loop for IAM

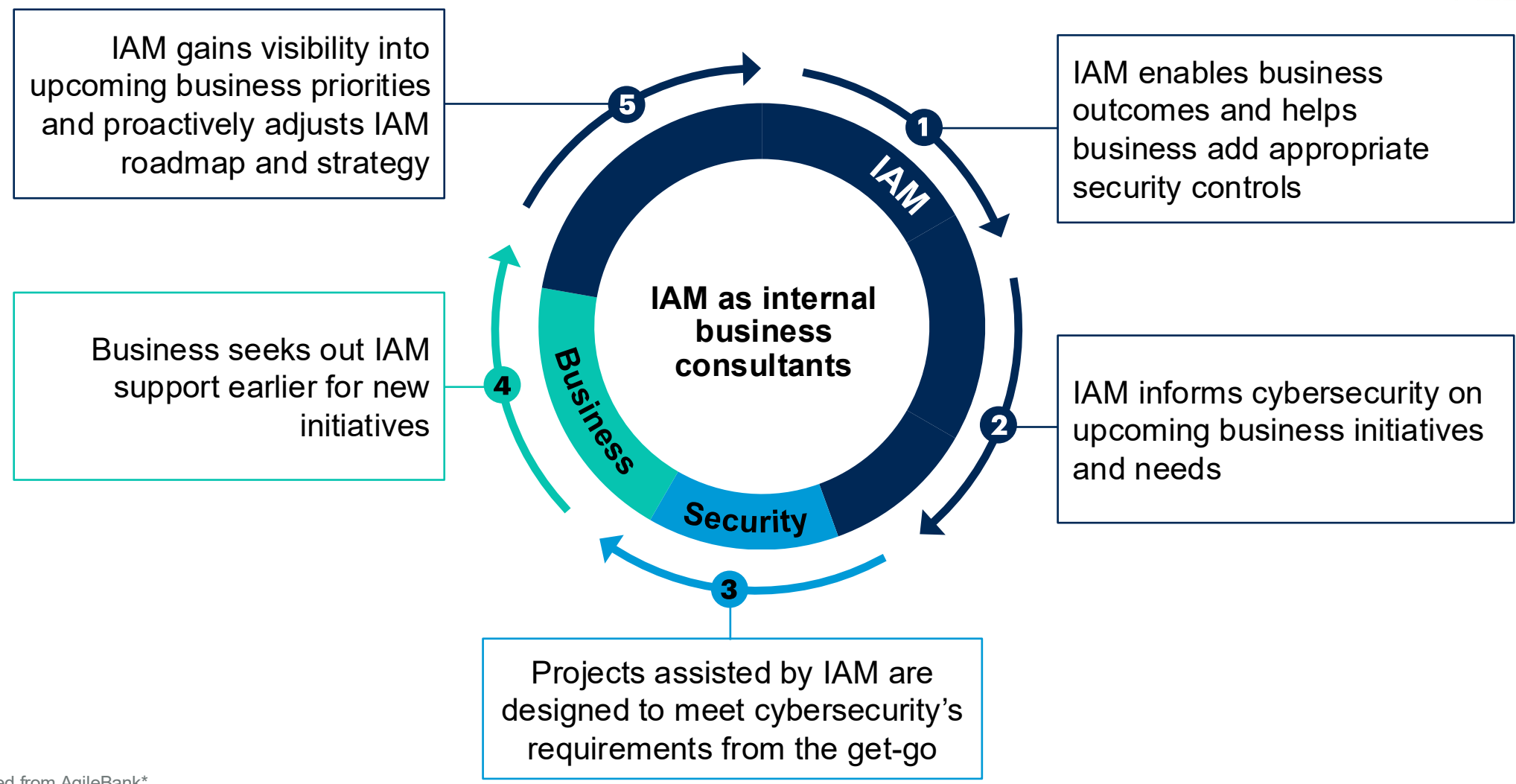
AGILEBANK*



Source: Adapted from AgileBank*
*Pseudonym

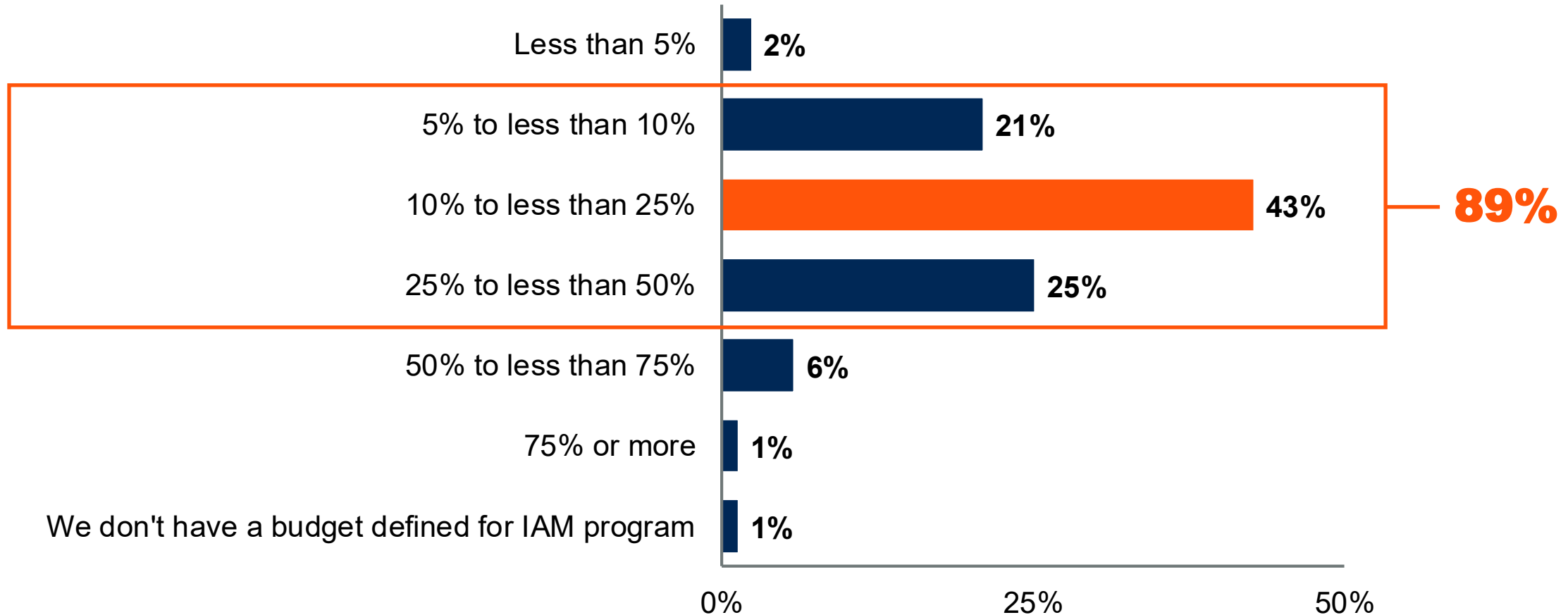
Feedback Loop for IAM

AGILEBANK*



Source: Adapted from AgileBank*
*Pseudonym

Percentage of Overall Cybersecurity Budget Allocated to IAM Program

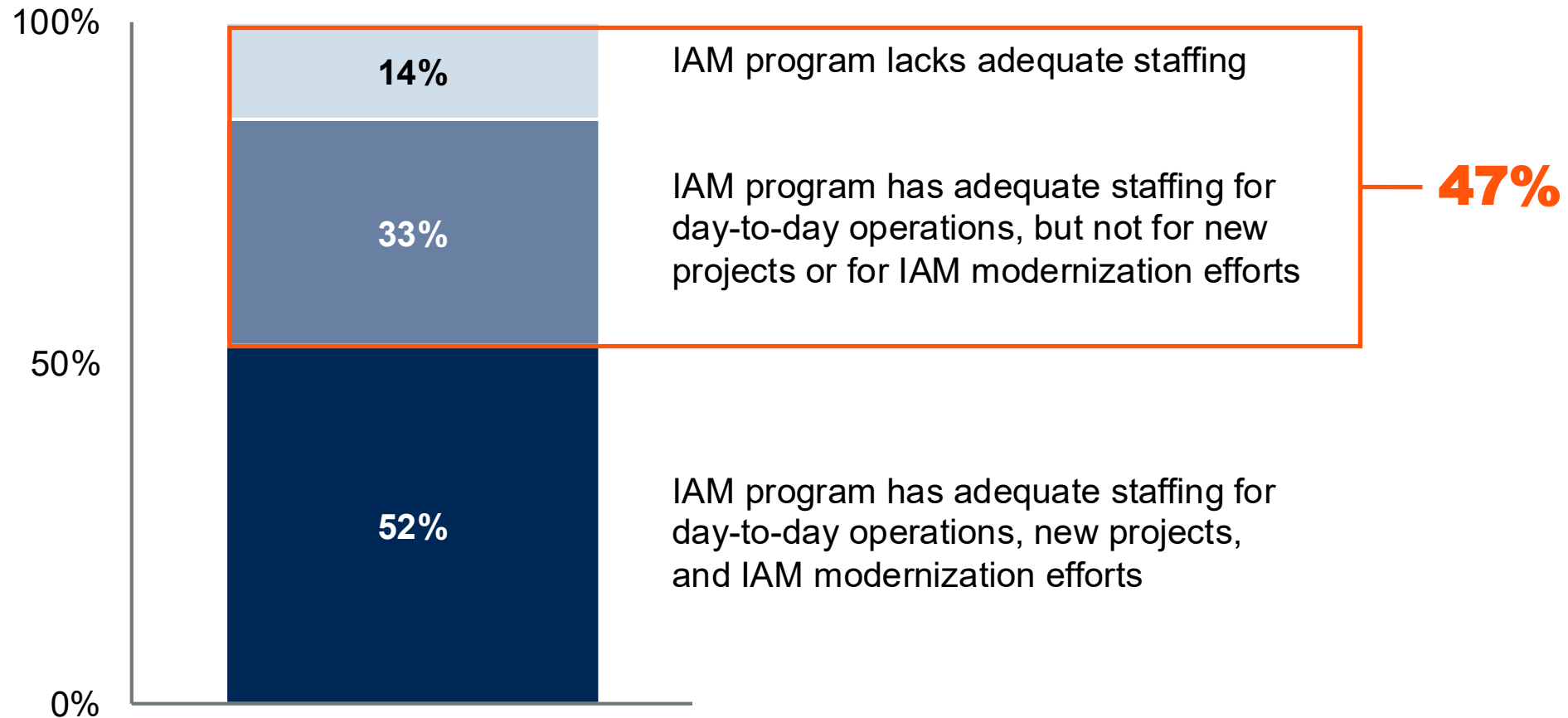


n = 290, all respondents, excluding don't know

Q: What percentage of your overall cybersecurity budget this year is allocated to IAM program (including IAM projects, initiatives, and operations)?

Source: 2023 Gartner IAM Modernization Preventing Identity First Security Survey

47% Organizations Are **Not Adequately Staffed** for New Projects or IAM Modernization Efforts

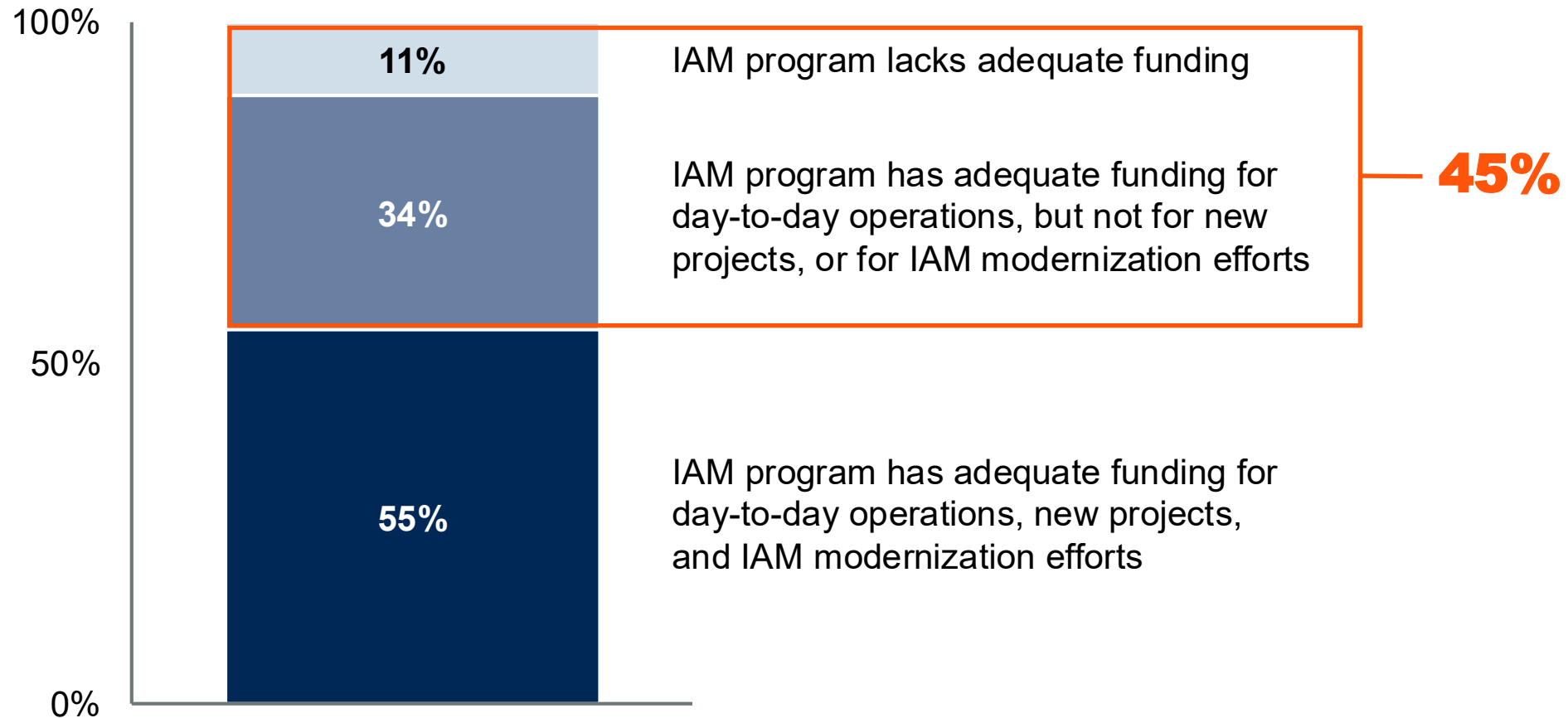


n = 300, all respondents, excluding don't know

Q: What best describes your organization's IAM current staffing status to achieve the IAM program's objectives?

Source: 2023 Gartner IAM Modernization Preventing Identity First Security Survey

45% Organizations Are **Not Adequately Funded** for New Projects or IAM Modernization Efforts



n = 298, all respondents, excluding don't know

Q: And, what best describes your organization's strategy to fund its IAM program (including IAM projects, initiatives, and operations)?

Source: 2023 Gartner IAM Modernization Preventing Identity First Security Survey



The IAM organization needs to be fed; funding, people and decision rights to meet their objectives, and to reach their fullest potential.

Recommendations

- ④ Recognize that as companies have moved to cloud-native architecture and adopted IaaS and SaaS, IAM is now the primary security control plane and the primary mechanism for mitigating business risk.
- ④ Strong leadership is required to navigate the IAM team from a tactical to a strategic capability, make sure the right leader is in place.
- ④ Even great leaders struggle without appropriate decision rights, enable your leaders by trusting them with appropriate decision rights.
- ④ IAM is a foundational capability, make sure that the organization has the right people and funding to be successful.

Recommended Gartner Research

To learn more about access to Gartner research, expert analyst insight, and peer communities, contact your Gartner representative or click on “Become A Client” on gartner.com to speak with one of our specialists.

- 🔍 [**IAM Leaders’ Guide to IAM Program Management**](#)
Rebecca Archambault, Nathan Harris and Brian Guthrie
- 🔍 [**Understand Your Customer: Chief Information Officer Persona Priorities, 2025**](#)
Tech Buying Behavior Research Team
- 🔍 [**Position IAM as a Strategic Business Ally — AgileBank* Case Study**](#)
Tejas Kapoor, Zachary Smith and Others
- 🔍 [**3 Principles for IAM to Identify, Secure and Support Business Goals**](#)
Phillip Shattan and Zachary Smith